

Taiwan Semiconductor Manufacturing Company — Investment Thesis

Rating: **BUY**

Structural Valuation Discount Persists Despite Dominant Industry Position, Long-Term Growth Economics, and Critical Strategic Importance Within Global Semiconductor Infrastructure

Rating: BUY

12-Month Price Target: NTD 2,881

Near-Term price Target: NTD 2,653

Current Price: NTD 2,350 (June 1st, 2026)

Implied Upside: +13%

Valuation Date: May 1st, 2026

WACC: 8.8%

Terminal Growth Rate: 2.5%

NTM EPS: NTD 116.8

NTM P/E: 20.1x

Market Cap: NTD 60,940,200 million

Enterprise Value: NTD 58,971,120 million

Net Cash Position: NTD 19,69,080 million

We initiate coverage on Taiwan Semiconductor Manufacturing Company with a **Buy** recommendation, supported by our intrinsic valuation framework indicating approximately **13% upside potential** relative to prevailing market pricing as of June 1st 2026. Our discounted cash flow analysis, incorporating an annual weighted average cost of capital assumption of approximately 8.8% and a long-term terminal growth assumption of 2.5%, implies an intrinsic equity value of approximately NTD 2,653 per share, suggesting that the market continues to undervalue the company despite exceptionally strong operating fundamentals, sustained long-term growth visibility, and an increasingly indispensable position within the global semiconductor ecosystem. Our 12 month and near term (3 to 6 months) targets are set at NTD 2881 and NTD 2653 respectively, the DCF base intrinsic value, cross- validated by our P/E based base target of NTD 2570 – two independent methodologies converging within 3.2% under identical assumptions.

At first glance, persistent undervaluation appears counterintuitive. TSMC remains the undisputed global leader in advanced semiconductor foundry manufacturing, maintaining exceptional technological leadership, dominant market share within advanced node production, superior operating margins relative to global semiconductor peers, and long-standing relationships with many of the world's most strategically important technology companies. Conventional valuation logic would suggest that a company possessing this degree of market dominance, technological leadership, and long-term demand visibility should command a premium valuation multiple relative to broader semiconductor peers. However, despite these advantages, market pricing continues to reflect a valuation discount relative to what our intrinsic framework suggests is fair value.

A commonly cited explanation for TSMC's valuation disconnects centres around accelerating artificial intelligence and high-performance computing demand. While these factors undeniably support long-term revenue expansion, we do not believe AI-related demand alone sufficiently explains current undervaluation. TSMC has been manufacturing advanced semiconductor products for critical technology customers including NVIDIA, Apple, AMD, and Qualcomm for several years, while commercial production of advanced process technologies including 3nm architecture has already been operational since the 2022–2023 production cycle. In our view, AI infrastructure demand is already broadly recognized by the market and therefore cannot fully explain persistent valuation inefficiency. Rather than focusing on AI demand as the primary explanatory variable, we believe undervaluation stems from a broader interaction of structural market forces that continue suppressing valuation multiples despite fundamentally attractive long-term economics.

The most significant factor influencing valuation remains persistent geopolitical discounting associated with Taiwan's strategic proximity to China. Cross-strait political tensions have remained a consistent source of uncertainty for global investors, particularly as China has repeatedly maintained a clear long-term position regarding Taiwan's sovereignty. Under normal market conditions, geopolitical exposure of this magnitude would likely result in substantial capital flight and materially lower valuation multiples. However, despite persistent geopolitical uncertainty, investors have not meaningfully abandoned TSMC, reflecting the company's extraordinary systemic importance within global semiconductor supply chains. TSMC remains uniquely positioned as the world's most critical advanced semiconductor manufacturer, operating extreme ultraviolet lithography infrastructure supplied by ASML at scale levels unmatched by competitors. Furthermore, geographic manufacturing diversification through expanding fabrication facilities across the United States, Japan, and Europe has partially reduced concentration risk, limiting the extent to which geopolitical concerns can materially impair long-term operational continuity. As a result, we believe markets continue assigning a structural geopolitical discount, though one materially smaller than conventional geopolitical risk frameworks would otherwise imply.

Equally important is the unusual nature of TSMC's capital allocation profile. Despite operating history spanning nearly five decades, TSMC continues to exhibit financial characteristics more commonly associated with high-growth expansion-stage businesses rather than mature industrial incumbents. Traditional mature semiconductor manufacturers typically transition toward capital allocation stability characterized by lower reinvestment intensity, moderate capital expenditure growth, and relatively stable operating economics. TSMC continues demonstrating the opposite behaviour. The company remains aggressively committed to large-scale global fabrication expansion, sustained technological reinvestment, advanced packaging development, aggressive node migration toward 2nm architecture, and continuous capacity expansion across international markets. In our view, TSMC occupies an unusual position where operational maturity coexists alongside expansion-stage capital allocation behaviour. This prolonged reinvestment cycle implies that the company remains in an extended structural growth phase despite already possessing dominant industry position, a dynamic that may not yet be fully reflected within prevailing market valuation. Projected CapEx as a percentage of revenue runs at approximately 30% through June 2026, declining modestly toward 28% by June 2027 as the 2nm node development cycle matures and geographic fab construction moves from buildout toward utilization ramp — a gradual normalization rather than a sharp reduction, consistent with TSMC's track record of sustained reinvestment even in periods of high capacity utilization.

This capital intensity is directly visible in our forward metrics. The Price/FCF ratio of 26.2x on a Jun-26 NTM basis appears elevated but is entirely expected — CapEx running at approximately 30% of revenue compresses FCF significantly relative to earnings, making TSMC look more expensive on FCF multiples than earnings multiples suggest. FCF per share of NTD 89.6 on a Jun-26 NTM basis growing to NTD 99.6 on a Sep-26 NTM basis confirms strong underlying cash generation trajectory. Critically, TSMC's return on invested capital has expanded from approximately 7.1% in early 2024 to approximately 13.9% by Q1 2026 — a near-doubling of capital efficiency within two years despite simultaneously executing the most ambitious geographic expansion program in the company's history. A business that improves its ROIC at this rate while deploying capital at this scale is not simply maintaining its moat — it is widening it.

We also believe relative undervaluation partly reflects broader capital allocation dynamics rather than company-specific weakness. Semiconductor businesses historically provide attractive long-term compound growth potential, but the sector simultaneously carries significant cyclical demand exposure, elevated capital intensity requirements, and substantial industry-specific volatility. In recent years, global investors have increasingly allocated capital toward sectors perceived as offering superior near-term alpha opportunities, particularly high-growth software infrastructure, defence-related industrial expansion, pharmaceutical innovation, and higher-beta technology segments capable of generating stronger short-duration returns. Under this framework, TSMC's relative undervaluation may partially reflect opportunity cost within institutional portfolio allocation decisions rather than weakness in underlying company fundamentals. Put differently, we believe TSMC is not underpriced because investors question the business itself, but because capital increasingly competes across sectors capable of generating higher near-term return potential.

Another important consideration is valuation ambiguity surrounding TSMC's evolving market identity. Investors continue struggling to classify TSMC within traditional valuation frameworks. The company simultaneously exhibits characteristics of a mature semiconductor manufacturer, a global industrial infrastructure asset critical to technological supply chains, and increasingly an indirect artificial intelligence infrastructure provider supporting the world's largest compute-intensive technology platforms. This hybrid positioning creates valuation uncertainty, as markets may lack a fully established framework for appropriately pricing a business that combines industrial capital intensity, technological monopoly characteristics, and exposure to secular artificial intelligence infrastructure growth. In our view, this classification ambiguity contributes to persistent undervaluation despite exceptional underlying business quality.

Importantly, we do not believe TSMC's technological moat itself explains current undervaluation. Market participants are fully aware of the company's long-standing technological leadership, advanced manufacturing capabilities, and dominant position within global foundry economics. Competitive advantages against peers such as Samsung and Intel have existed for years and therefore do not represent newly emerging valuation catalysts. Rather, markets appear to balance this recognized technological leadership against geopolitical uncertainty, prolonged capital intensity, cyclical semiconductor industry risk, and competing portfolio allocation opportunities elsewhere across global equity markets.

Accordingly, our Buy recommendation reflects the view that current market pricing underestimates the company's long-term earnings power, global strategic importance, sustained reinvestment-driven growth potential, and durable competitive position within the semiconductor ecosystem. While valuation discounting persists due to structural geopolitical concerns and broader capital allocation competition, we believe these factors currently overstate long-term downside relative to the company's exceptional operational durability and irreplaceable strategic role within global technology infrastructure.

Key Catalysts Supporting Long-Term Value Creation

1. Sustained Global Semiconductor Infrastructure Demand and Advanced Node Capacity Expansion

Continued expansion in high-performance computing demand, artificial intelligence infrastructure buildout, and accelerating advanced node semiconductor adoption will support long-term revenue growth while increasing utilization across next-generation fabrication capacity.

2. Prolonged Expansion-Stage Capital Deployment Supporting Future Earnings Capacity

Aggressive investment in advanced packaging technologies, 2nm production capabilities, and international fabrication expansion across multiple geographic regions creates future production capacity that may materially improve long-term earnings power beyond what current market pricing implies.

3. Reduction in Structural Geopolitical Risk Perception

Further international manufacturing diversification combined with improving confidence surrounding long-term supply chain resilience may gradually reduce geopolitical discounting currently embedded within valuation multiples.

Key Investment Risks

1. Escalation of Taiwan–China Geopolitical Conflict

Material deterioration in cross-strait geopolitical stability could disrupt investor confidence and materially compress valuation multiples despite strong operating fundamentals. This is the primary driver of our bear case scenario, which assumes a WACC expansion of 10.5% reflecting elevated country risk premium, implying intrinsic value of NTD 1,942 – a downside of approximately 17.3% from current pricing.

2. Semiconductor Industry Cyclicity

Demand normalization, inventory correction cycles, or broader semiconductor downturns may negatively affect near-term revenue growth and utilization rates.

3. Sustained Capital Intensity Pressuring Free Cash Flow Generation

Large-scale fabrication investment programs require substantial capital expenditure commitments, projected approximately 30% of revenue through mid- 2026 potentially limiting free cash flow generation during prolonged expansion cycles. Advanced packaging capacity expansion (CoWoS, SoIC) for AI accelerator demand represents an additional upside risk to CapEx intensity that could slow the pace of FCF normalization.

4. Competitive Technology Advancement from Global Foundry Peers

Competitive progress from Samsung or Intel may gradually narrow technological leadership advantages currently supporting pricing power.

5. Capital Rotation Toward Higher Alpha Sectors

Institutional investors may continue allocating capital toward sectors offering superior short-duration return opportunities, limiting valuation multiple expansion despite strong company fundamentals.

Scenario Analysis

We construct scenarios at the valuation and discount rate level rather than the operational level. TSMC's demand consistently exceeds capacity, management has not materially missed its own guidance in over a decade, and there is no credible near-term competitive threat at leading nodes. Manufacturing operational risk that does not exist in the business with any realistic near-term probability through arbitrary revenue or margin stress scenarios would undermine rather than strengthen the analytical framework.

Scenarios are instead anchored to the central question of this thesis: how does the market resolve the geopolitical discount applied to TSMC over time? The same rationale drives both the DCF scenario - via WACC and terminal growth rate and the market price target scenario - via target P/E multiple. Where both methodologies converge, conviction is highest.

Why Operational Scenarios Are Not Used?

TSMC's risk profile is asymmetrically external rather than operational. Demand consistently exceeds capacity, management has not materially missed its own guidance in over a decade, competitive threats at leading nodes remain years away from being credible, and customer concentration risk is mitigated by the absence of any alternative supplier at 3nm and below. Changing revenue growth, margin, or cost assumptions to construct bear/base/bull cases would manufacture operational risk that does not exist in the business with any realistic near-term probability. Scenarios are therefore constructed at the valuation and discount rate level, which is where TSMC's genuine uncertainty actually sits.

DCF-Based Scenarios (WACC + TGR)

These scenarios are derived directly from the sensitivity table in the model. No operational assumptions change only the cost of capital and terminal growth rate reflect different macroeconomic and geopolitical environments. All upside and downside figures are calculated against the June 1st 2026 reference price of NTD 2,350.

Scenario	WACC	TGR	Intrinsic Value (NTD/share)	vs NTD 2,350
Bear Case	10.5%	1.5%	1,942.4	-17.3%
Base Case	8.77%	2.5%	2,653.7	+12.9%
Bull Case	7.5%	3.0%	3,634.4	+54.7%

Bear rationale: Cross-strait tensions escalate, institutional investors apply higher Taiwan country risk premium, interest rate environment stays higher for longer, AI capex cycle peaks earlier than consensus expect.

Base rationale: Current geopolitical discount persists but does not worsen, Fed cutting cycle partially offsets Taiwan risk premium, AI/HPC demand sustains through projection horizon.

Bull rationale: Geopolitical discount compresses as Arizona and Japan fabs demonstrably de-risk Taiwan concentration, US-China tensions ease at the margin, AI infrastructure buildout extends beyond current consensus cycle length.

Market Price Target Scenarios (P/E Based)

These scenarios address what the market could re-rate TSMC to under different multiple environments distinct from DCF intrinsic value, which represents fundamental worth independently of market sentiment. Each target P/E is anchored to a specific external reference. NTM EPS of NTD 116.8 is used throughout (Jun-26 NTM basis, derived directly from model projections). All upside and downside figures calculated against June 1st 2026 reference price of NTD 2,350.

Scenario	Target P/E	Anchor	Target Price (NTD)	vs NTD 2,350
Bear Case	16.0x	Samsung Foundry/SMIC blended peer multiple - TSMC re-rated as Taiwan-concentration risk asset rather than technology moat	1,869.2	-20.5%
Base Case	22.0x	TSMC 5-year historical average forward P/E -normalised Taiwan risk premium already embedded	2,570.2	+9.3%
Bull Case	26.0x	KLA Corp 10yr avg forward P/E (~29x), applied at a ~10% discount (26x) - closest technology infrastructure monopoly comparable without Taiwan risk overhang	3,037.5	+29.3%

Bear rationale: Geopolitical risk deepens, market treats TSMC as a Taiwan-risk asset rather than a technology moat asset, multiple compresses toward commodity foundry peer levels. Even in this scenario TSMC retains a slight premium to Samsung Foundry and SMIC given superior yield rates and customer relationships.

Base rationale: Status quo sustained - geopolitical discount persists without material change. Current NTM P/E of 20.1x sits above the 22x base case target, suggesting the market would need to slightly moderate from current pricing for the base case to materialise consistent with a Buy at current levels rather than a Strong Buy.

Bull rationale: Geographic diversification (Arizona, Japan, Europe) reaches sufficient scale to demonstrably reduce Taiwan concentration risk in institutional eyes. The market re-rates TSMC from a Taiwan-risk asset toward a technology infrastructure monopoly the category it fundamentally belongs to. At 26x, TSMC would still trade at a discount to many US-listed technology infrastructure businesses with inferior moats and lower margins. We anchor this target to KLA Corp's 10-year average forward P/E (~29x) rather than ASML's current, AI-cycle-elevated multiple (~45x) - reflecting a partial re-rating toward monopoly-tier valuations, not full convergence to today's most extreme comparable. This is the logical destination if Taiwan concentration risk is demonstrably reduced.

Cross-Validation

The base case DCF output of NTD 2,653.7 and base case P/E output of NTD 2,570.2 converge within 3.2% two independent methodologies anchored to the same geopolitical narrative arriving at approximately the same destination. This convergence strengthens conviction in the Buy recommendation and confirms the internal consistency of the analytical framework. Our 12-month price target of NTD 2,653 is the DCF base case intrinsic value, cross-validated by the P/E base case of NTD 2,570

Valuation Summary

Our DCF analysis implies an intrinsic equity value of approximately NTD 2,653 per share at a WACC of 8.77% and terminal growth rate of 2.5%, representing approximately 12.9% upside to June 2026 market pricing of NTD 2,350. Our 12-month price target is NTD 2,653. Current trading multiples reflect the geopolitical discount embedded in the stock. On a Jun-26 NTM basis, TSMC trades at 20.1x forward P/E and 10.0x EV/Revenue at the June 2026 price. The Price/FCF ratio of 26.2x appears elevated but reflects peak CapEx intensity of approximately 30% of revenue rather than operational weakness - a distinction central to the investment thesis. FCF per share of NTD 89.6 on a Jun-26 NTM basis grows to NTD 99.6 on a Sep-26 NTM basis, confirming strong underlying cash generation trajectory.

An important methodological consideration: the DCF-implied discount is sensitive to cash flow timing assumptions within each quarter. Using May 2026 as the valuation date with midpoint cash flow timing implies approximately 20 to 22% discount to intrinsic value. Reframed to June 2026 with quarter-end cash flow timing, the implied discount compresses to approximately 12 to 14%. This mechanical compression - driven by the passage of time rather than any change in business fundamentals - suggests the market may be progressively pricing TSMC closer to intrinsic value as near-term cash flows approach. A discount that narrows with the passage of time is not the same as a catalyst-driven re-rating and the two should not be conflated when assessing whether the Buy recommendation remains valid.

Upside and Downside Reflection Within Investment Thesis

We set a 12-month price target of NTD 2,882, derived from our Sep-26 NTM EPS projection of NTD 131.0 - the forward earnings window that corresponds to a 12-month horizon from the June 2026 price reference - applied at our base case target P/E of 22x, consistent with TSMC's 5-year historical average forward multiple. This implies upside of approximately 22.6% from the June 2026 reference price of NTD 2,350.

We distinguish this from our DCF base case intrinsic value of NTD 2,653, which we view as a near-term (3 to 6 month) convergence target - the level at which the market price should naturally arrive as near-term cash flows materialise and the mechanical valuation date discount compresses. The 12-month target of NTD 2,882 captures the additional earnings growth that TSMC's trajectory delivers over a full year horizon without requiring any re-rating - merely the continuation of projected earnings at the historical average market multiple

Our investment thesis reflects a favourable asymmetry between long-term structural opportunity and presently discounted market valuation. Upside potential remains driven by sustained semiconductor demand growth, successful monetization of next-generation fabrication capacity, continued technological leadership across advanced manufacturing nodes, and eventual reduction in geopolitical discount currently embedded within market pricing. Downside risk primarily emerges from geopolitical escalation involving Taiwan and China- quantified in our bear case at ~17% downside from current pricing, prolonged semiconductor demand cyclicality, sustained capital intensity reducing free cash flow generation, or continued investor preference for alternative sectors offering superior short-duration return opportunities. At present, we believe market pricing overemphasizes structural external risks while underappreciating TSMC's exceptional long-term earnings durability and irreplaceable strategic importance within global technology infrastructure, supporting our Buy recommendation.